Taiwan Semiconductor Manufacturing Co Ltd ADR TSM ★★★

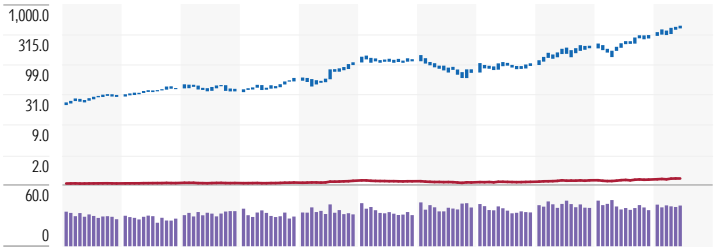
ESG Risk Rating Assessment[1]

12-Feb-2025

Taiwan Semiconductor Manufacturing Co. is the world's largest dedicated chip foundry, with about 70% market share in 2025. TSMC was founded in 1987 as a joint venture of Philips, the government of Taiwan, and private investors. It went public in Taiwan in 1994 and as an ADR in the US in 1997. TSMC's scale and high-quality technology allow the firm to generate solid operating margins, even in the highly competitive foundry business. Furthermore, the shift to the fabless business model has created tailwinds for TSMC. The foundry leader has an illustrious base of customers, including Apple, AMD, and Nvidia, that look to apply its cutting-edge process technologies to their semiconductor designs. TSMC employs more than 83,000 people.

Fair Value	Uncertainty	Economic Moat	Sector	Style	Market Cap (Mil)	Sales (Mil)	Last Close
$428.00	Medium	Wide	Technology	Large Growth	1,849,494	4,103,904	408.75

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	YTD
High	31.62	43.02	46.57	59.71	109.70	142.20	145.00	110.69	212.60	313.98	450.16
Low	20.45	28.75	35.22	34.21	42.70	107.58	59.43	73.77	98.80	134.25	303.89



10 Yr Range(High/Low)
450.16-20.45

52 Wk Range (High/Low)
450.16-206.20

Price Volatility
- Monthly High/Low
- Rel Strength to S&P 500
- Split

Trading Volume (Million)

Stock Performance

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	YTD
Total Return %	30.5	41.9	-3.5	62.9	90.6	12.1	-36.6	42.1	92.1	55.4	34.8
+/- Market	9.4	32.8	5.4	40.0	85.0	-13.0	-30.7	30.3	70.5	23.8	26.1
+/- Industry	-0.7	4.4	5.7	9.7	35.4	-29.1	0.6	-47.1	6.9	12.1	-4.5
Dividend Yield %	3.3	2.9	3.6	3.5	1.6	1.6	2.4	1.8	1.2	1.0	0.8
Market Cap Mil	145709	199419	191195	286576	492708	575946	378695	500446	847758	1285283	1849494

Financials (TWD)

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	TTM
Revenue Mil	947909	977443	1031362	1069985	1339255	1587415	2263891	2161736	2894308	3809054	4103904
Gross Margin %	50.1	50.6	48.3	46.1	53.1	51.6	59.6	54.4	56.1	59.9	61.9
Oper Income Mil	377911	386657	383626	372699	566780	649984	1121227	921430	1322003	1936096	2187955
Operating Margin %	39.9	39.6	37.2	34.8	42.3	41.0	49.5	42.6	45.7	50.8	53.3
Net Income Mil	331714	344998	363053	353948	510744	592359	992923	851740	1158380	1697604	1908520
Earnings Per Share	63.95	66.50	70.00	68.25	98.50	114.20	191.45	164.25	223.35	327.35	368.00
Dividends	30.38	34.98	41.17	62.40	50.02	52.55	54.77	57.08	74.80	95.17	102.77
Shares Mil	5186	5186	5186	5186	5186	5186	5186	5186	5186	5186	5186
Book Value Per Share	7.66	9.24	9.93	10.22	12.36	14.46	17.19	21.01	23.39	30.82	35.92
Oper Cash Flow Mil	539835	585318	573954	615139	822666	1112161	1610599	1241967	1826177	2274976	2348378
Cap Spending Bil	-333	-336	-323	-470	-521	-849	-1090	-955	-965	-1283	-1301
Free Cash Flow Mil	206741	249430	251272	145387	301192	262724	520973	286569	861196	992378	1047199

Profitability

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	TTM
Return on Assets %	18.7	17.8	17.8	16.3	20.3	18.3	22.9	16.2	19.0	23.2	24.2
Return on Equity %	26.0	24.2	23.0	21.6	29.6	29.7	39.3	26.9	30.2	35.4	36.5
Asset Turnover	0.54	0.50	0.51	0.49	0.53	0.49	0.52	0.41	0.47	0.52	0.52
Net Margin %	35.0	35.3	35.2	33.1	38.1	37.3	43.9	39.4	40.0	44.6	46.5
Financial Leverage	1.4	1.3	1.3	1.4	1.5	1.7	1.7	1.6	1.6	1.5	1.5

Financial Health (TWD)

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	03-26
Long-Term Debt Mil	153115	91800	56900	25100	256073	613380	839096	918283	958429	896062	901018
Total Equity Mil	1359051	1493747	1660429	1613706	1834811	2149260	2903020	3422952	4244267	5355039	5890960
Debt/Equity	0.11	0.06	0.03	0.02	0.15	0.30	0.30	0.28	0.23	0.17	0.16
Working Capital Mil	469443	470313	594843	224250	460287	848720	1066333	1251228	1779696	2294717	2551259

Valuation

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	TTM
Price/Earnings	15.9	18.0	16.6	26.5	31.5	30.5	13.4	19.0	32.1	31.3	35.1
P/E vs. Market	—	—	0.0	0.0	0.0	0.0	—	—	0.0	0.0	1.8
Price/Sales	5.4	6.4	5.7	8.7	12.2	11.4	5.7	7.7	12.7	13.6	16.3
Price/Book	3.8	4.3	3.7	5.7	8.8	8.3	4.3	5.0	8.4	9.9	11.4
Price/Cash Flow	9.6	10.8	9.9	15.0	20.6	17.4	7.9	12.4	21.1	22.7	28.5

Growth Rates (Compound Annual)

Grade: B	1 Yr	3 Yr	5 Yr	10 Yr
Revenue %	31.6	18.9	23.3	16.3
Operating Income %	46.5	20.0	27.9	19.7
Earnings/Share %	46.6	19.6	27.2	18.8
Dividends %	27.2	20.2	13.7	—
Book Value/Share %	26.2	22.6	23.9	16.2
Stock Total Return	94.0	59.4	28.9	32.4
+/- Industry	6.8	-5.4	-12.1	-4.3
+/- Market	61.6	36.2	14.3	19.8

Profitability Analysis

Grade: A	Current	5 Yr Avg	Ind	Mkt
Return on Equity %	36.5	32.3	33.2	15.3
Return on Assets %	24.2	19.9	20.4	5.4
Revenue/Employee K	45318.5	32039.1	—	0.0
Fixed Asset Turns	1.1	0.9	2.1	—
Inventory Turns	5.2	4.7*	3.5	—
Gross Margin %	61.9	56.3	58.4	—
Operating Margin %	53.3	45.9	41.8	—
Net Margin %	46.5	41.0	34.7	19.7
Free Cash Flow/Rev %	25.5	21.7	164.6	—
R&D/Rev %	6.5	7.4	13.3	—

Financial Position (TWD)

Grade: A	12-25 Mil	03-26 Mil
Cash	2767856	3035637
Inventories	288110	311453
Receivables	282059	364690
Current Assets	3817131	4265512
Fixed Assets	3735760	4000645
Intangibles	24953	24729
Total Assets	7932843	8660950
Payables	877924	1035339
Short-Term Debt	136926	156242
Current Liabilities	1522414	1714253
Long-Term Debt	896062	901018
Total Liabilities	2536623	2728561
Total Equity	5355039	5890960

Valuation Analysis

	Current	5 Yr Avg	Ind	Mkt
Price/Earnings	35.1	25.5	42.1	19.8
Forward P/E	26.2	—	—	—
Price/Cash Flow	28.5	16.0	4.5	11.2
Price/Free Cash Flow	64.0	50.7	10.2	—
Dividend Yield %	0.8	1.6	0.4	2.3
Price/Book	11.4	7.1	15.6	2.7
Price/Sales	16.3	10.1	16.1	—
PEG Ratio	1.3	—	—	—

*3Yr Avg data is displayed in place of 5 Yr Avg

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Quarterly Results (TWD)

Revenue	Jun	Sep	Dec	Mar
Most Recent	933791.0	989918.0	1046090.0	1134103.0
Previous	673510.0	759692.0	868461.0	839253.0
Rev Growth %	**Jun**	**Sep**	**Dec**	**Mar**
Most Recent	38.7	30.3	20.5	35.1
Previous	40.1	39.0	38.8	41.6
Earnings Per Share	**Jun**	**Sep**	**Dec**	**Mar**
Most Recent	76.80	87.20	97.50	110.40
Previous	47.80	62.70	69.35	69.70

Close Competitors

	Mkt Cap Mil	Rev Mil	P/E	ROE%
Samsung Electronics Co Ltd	1897322136	388338879	24.3	19.2
United Microelectronics	1486752	240732	30.1	12.2

Major Fund Holders

	% of shares
AllianceBernstein US L/C Growth Eqty MF	0.05
ACE Global Semiconductor TOP4 Plus	0.01
KIM Glbl AI&SemcndctrTOP10 Mstr Eq H USD	0.00

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†The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

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